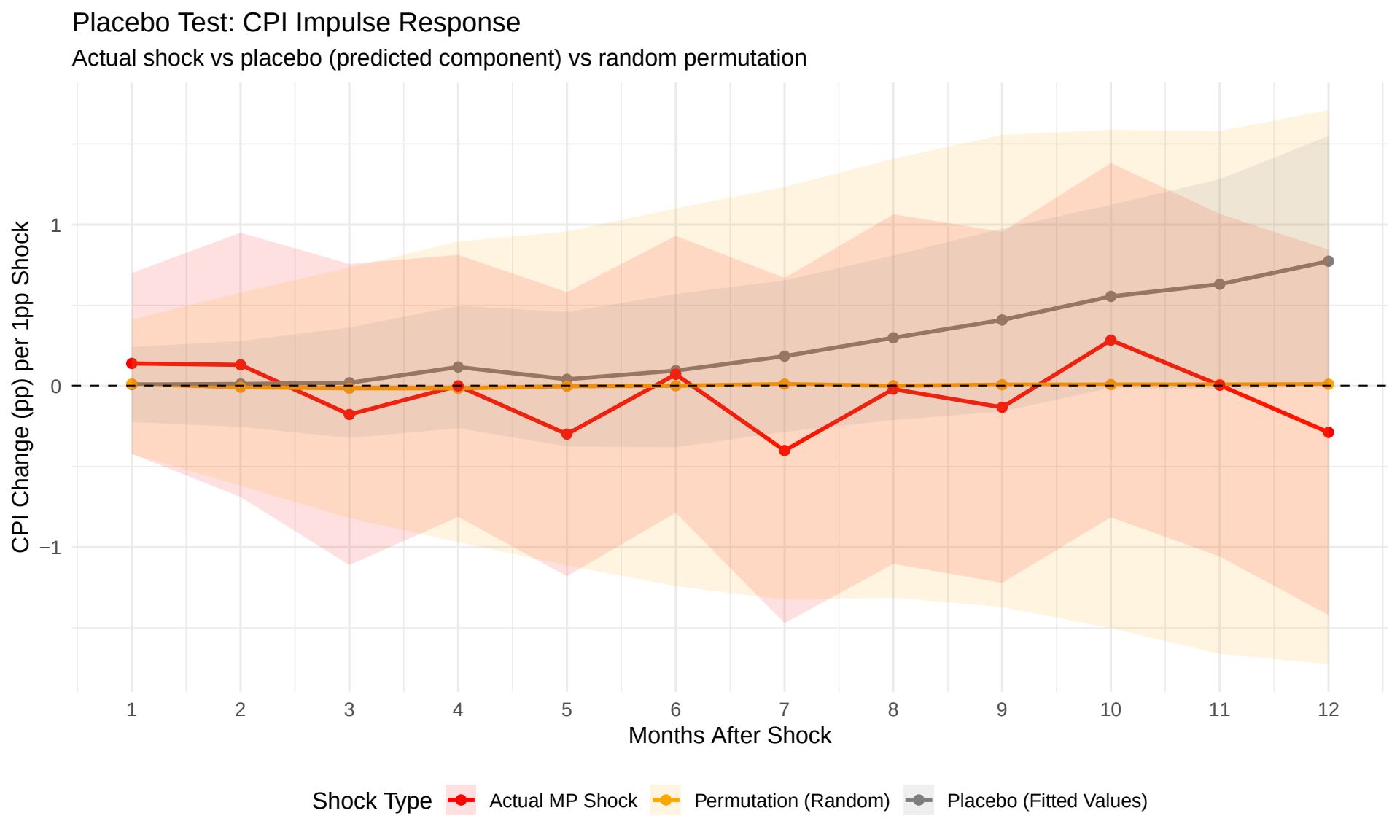
Placebo Test: CPI Impulse Response
Actual shock vs placebo (predicted component) vs random permutation
CPI Change (pp) per 1pp Shock
1
0
−1
1
2
3
4
5
6
7
8
9
10
11
12
Months After Shock
Shock Type
Actual MP Shock
Permutation (Random)
Placebo (Fitted Values)